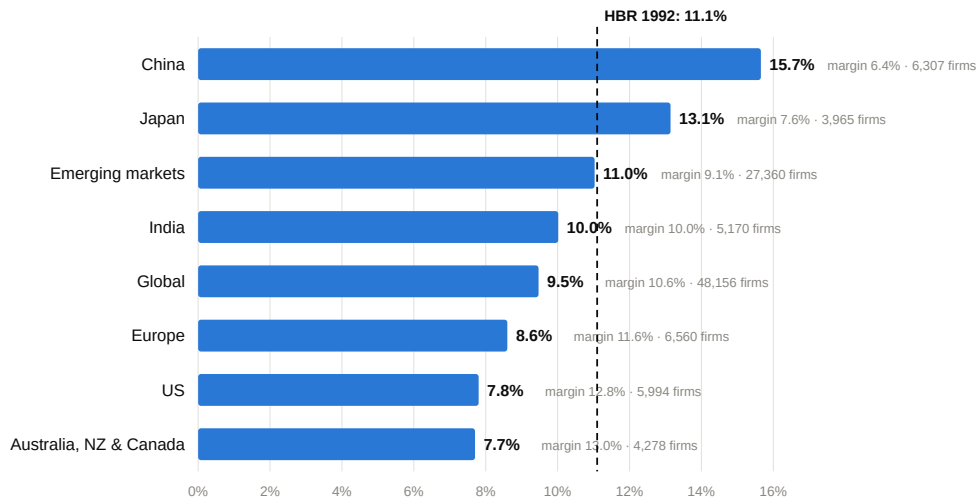


Every pricing deck says 1% of price is worth 11% of profit. **That was true in 1992.** Here is what it is worth now, by region.

The 11% rule, recomputed for every region, January 2026

Operating profit gained from a 1% price improvement, volume unchanged. It is one over the operating margin, so it is a fact about margins: revenue-weighted across every listed company Damodaran covers in each region.

Published in 1992. The US today: **7.8%**. Nearest to 11.1 now: **emerging markets**.



Above the line: thinner margins than the 1992 sample, so a price point is worth more of the profit. Below: less. Aggregates include loss-makers. The median US industry gives 8.1%; the spread by industry is on the page.

Data: Damodaran, NYU Stern, margin tables by region, Total Market row, pre-tax unadjusted operating margin, Jan 2026 - namikakmandev.github.io/price-leverage.html

Marn & Rosiello, Harvard Business Review, 1992

The famous number

A 1% improvement in price yields an **11.1%** increase in operating profit. More than volume, more than cost.

It is not a finding. It is arithmetic: if volume holds, the gain is **one over the operating margin**. 11.1 is what a 9% margin gives.

So it is a fact about the margins of one sample of companies, 34 years ago. Nothing else.

How one price point becomes 44% or 3%

Raise price 1%, sell the same volume, change nothing else. The extra revenue has no cost attached, so all of it lands in operating profit.

Every business gains the same one point of margin. What differs is how big that point is next to the profit it already had.

	Grocery (US)	1992 sample	Pharma (US)
Operating margin	2.3%	9.0%	29.5%
Revenue	100	100	100
Operating costs	97.7	91.0	70.5
Operating profit	2.29	9.00	29.54
Price +1%, same volume	101	101	101
Costs, unchanged	97.7	91.0	70.5
Operating profit	3.29	10.00	30.54
Profit gain	+43.6%	+11.1%	+3.4%

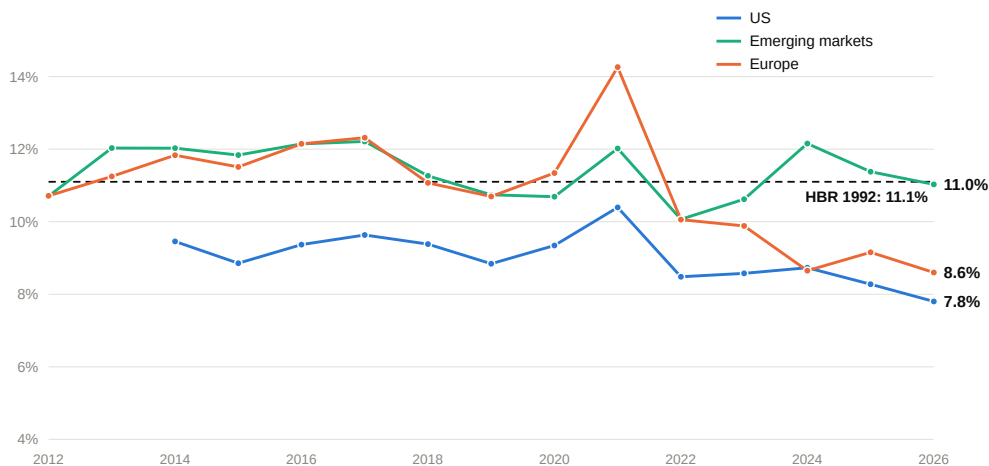
Thin margin, huge leverage. Fat margin, small leverage. The rule is one divided by the operating margin.

So I recomputed it, every year

The US is not on the 11% rule. Emerging markets are.

Operating profit gained from a 1% price improvement, one over the aggregate operating margin, one point per edition of Damodaran's industry tables. Each January edition reflects the previous fiscal year. Dashed: the 1992 figure.

US: below 11.1 in every edition since 2014; 2026: 7.8%. Emerging markets 2026: 11.0%.



Same identity, same source, every year: the line moves only because operating margins do. US margins widened; emerging-market margins did not. Editions are labelled by the January they were published. Earlier US editions use another layout and are kept apart: see the page.

Data: Damodaran, NYU Stern, archived industry margin tables margin<yy>.xls, Total Market row, pre-tax operating margin as labelled in each edition - namikakmandev.github.io/price-leverage.html

The US today

7.8%

operating profit per 1% of price. Below 11.1 in every edition since 2014. Europe: 8.6%.

Emerging markets

11.0%

Within 1.1 points of the rule in every edition since 2012. Japan 13.1%, China 15.7%. **The rule moved. The decks did not.**

Two things before you quote it

- 1. It is a formula, not a constant.** Your number is one over your operating margin. Pharmaceuticals at 30% margin: 3.4%. Grocery retail at 2%: 44%. Tobacco at 44%: 2.3%.
- 2. Know which market the deck is in.** In the US and Europe, 11.1 flatters the price lever. For an emerging-market aggregate it is still a fair default when the margin is unknown.

Method, every number and both scripts:

namikakmandev.github.io/price-leverage.html

Data: Damodaran, NYU Stern, industry margin tables, eight regions, every archived edition; revenue-weighted, listed companies, volume held constant. Only the price lever is retested.